

Market Pulse — July 2026: India Holds Steady as Asia’s Chip Rout Reshapes Markets

Nifty gained 2.1% to 24,383.6 as India stood apart from Asia’s semiconductor meltdown. Nifty IT surged 19.1% on capital rotation from AI hardware. KOSPI fell 20.6%, SK Hynix crashed 33%. RBI’s forex drive attracted \$32 Bn in 45 days. 13 mainboard IPOs listed with Indo-MIM leading at +59.5%.

CAPITAL MARKETS

FII/DII

MACRO

IPO

AI

NIFTY 50 MTD

+2.1%

Settled at 24,383.6

NIFTY MIDCAP 100

+0.4%

Settled at 62,915.3

NIFTY SMALLCAP 100

+2.5%

Settled at 19,339.6

BSE SME IPO

+0.9%

Settled at 100,362.0

NIFTY IT MTD

+19.1%

Capital rotated from Asia chips

KOSPI MTD

−20.6%

SK Hynix −33%, circuit breakers

Executive Summary

Indian equities posted moderate gains in July as the Nifty 50 rose 2.1% to 24,383.6, with Smallcap (+2.5%) outperforming while Midcap (+0.4%) stayed flat. The standout story was Nifty IT surging 19.1% as capital rotated out of AI hardware and into Indian IT services amid Asia’s semiconductor meltdown.

The month was defined by Korea’s chip rout — KOSPI fell 20.6%, SK Hynix crashed 33%, and Korea triggered its first-ever back-to-back circuit breakers after China began mass-producing its own chipmaking tools. India stood apart from the regional wreckage, supported by strong FCNR/NRI inflows (\$32 Bn in 45 days) and the IMF reaffirming India as the world’s fastest-growing major economy at 6.4% GDP growth for FY27.

IPO activity remained healthy with 13 mainboard listings, led by Indo-MIM (+59.5%). Capital Market (−4.4%) and Energy (−2.6%) were the key laggards.

India Holds Its Crown as Fastest-Growing Major Economy

The IMF has projected India’s GDP growth at 6.4% for FY27, slightly lower than its earlier forecast of 6.5%, while reaffirming India as one of the fastest-growing major economies. The outlook is supported by strong private consumption and a resilient services sector, despite slowing global growth of 3.0% in 2026 and rising geopolitical uncertainties.

The IMF also expects India’s growth to improve to 6.7% in FY28.

RBI’s Forex Drive Attracts \$32 Bn, Eyes \$85 Bn

India has already attracted over \$32 Bn in foreign capital since the RBI introduced its special forex measures in June, including more than \$26 Bn through FCNR(B) deposits in just 45 days — surpassing the entire 2013 FCNR mobilisation.

According to SBI Research, total inflows could reach \$80–85 Bn, with FCNR(B) deposits alone expected to touch \$65–70 Bn. The strong response from NRIs and global investors is expected to

boost India’s foreign exchange reserves and strengthen the rupee.

\$26 Bn in FCNR(B) deposits in 45 days — surpassing the entire 2013 mobilisation.

Why ICICI Won While HDFC & Axis Slipped

Private banking stocks saw a sharp divergence after quarterly earnings. HDFC Bank’s NIM declined from ~4.0% (pre-merger) to 3.26%, while Axis Bank’s fell to 3.46%, sending both stocks down over 5%.

In contrast, ICICI Bank maintained a strong NIM of 4.36%, reported better-than-expected earnings, and its stock gained about 1%.

Sectoral Performance — July 2026

SECTOR	PRICE 1 JUL	PRICE 31 JUL	CHANGE
Nifty IT	25,769.8	30,708.9	+19.1%
Nifty Media	1,509.0	1,618.6	+7.2%
Nifty Capital Market	5,554.5	5,307.1	−4.4%
Nifty Energy	39,764.8	38,729.5	−2.6%

IT & Media Rally

Nifty IT (+19.1%): HCL Tech gained 30.2% on strong Q1 earnings, robust deal wins, and continued demand for AI, cloud, and digital transformation services. Persistent Systems gained 28.15% driven by strong AI and cloud deal wins and positive management commentary.

Nifty Media (+7.2%): Prime Focus gained 23.7% driven by closure of insolvency proceedings, a \$100 Mn partnership with Spain’s SETT Fund, and Sony Pictures’ global distribution deal for Ramayana. PVR INOX gained 15.59% on strong box office collections and improving occupancy.

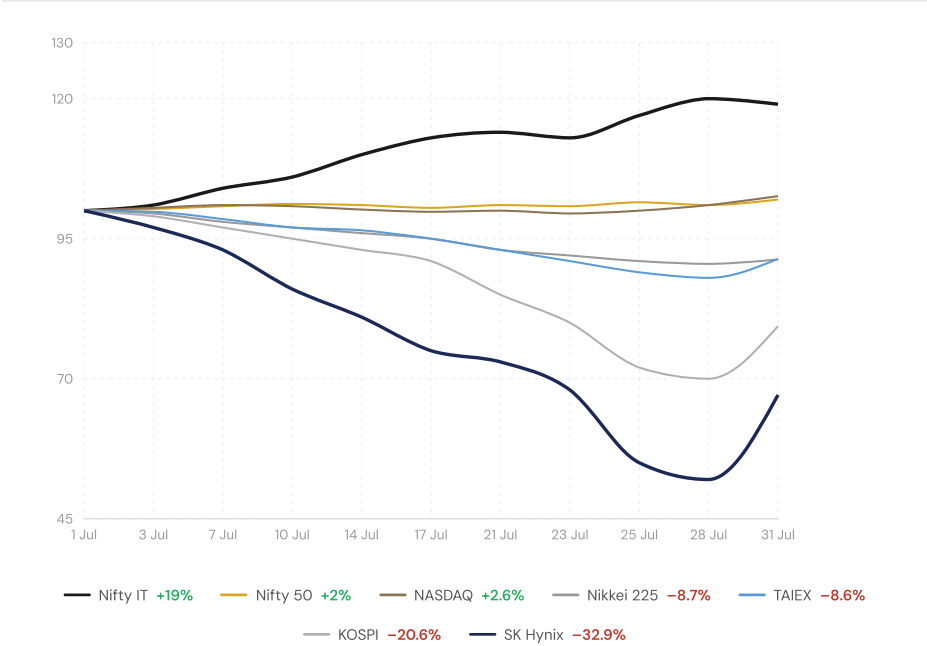
Capital Market & Energy Decline

Nifty Capital Market (−4.4%): Angel One declined 13.9% and ABSL AMC declined 15.1%, weighed down by weaker derivatives trading activity, margin pressure, and cautious investor sentiment towards the brokerage sector.

Nifty Energy (−2.6%): Gujarat Gas declined 8.5% on softer industrial gas demand and rising LNG procurement costs. Suzlon Energy declined 12.7% as investors booked profits after the stock’s strong rally earlier in the year.

Regional Market Performance — July 2026

INDEX	PERFORMANCE
Nifty IT	+19.1%
Nifty 50	+2.1%
NASDAQ	+2.6%
TAIEX	−8.6%
Nikkei 225	−8.7%
KOSPI	−20.6%
SK Hynix	−32.9%



Asia’s Chip Rout: India Stands Apart

South Korea’s KOSPI doubled in H1 2026, peaking on June 19 before SK Hynix overtook Samsung as the country’s most valuable company. The rally ran on leverage, with retail investors piling into single-stock ETFs.

In late July, reports that China had begun mass-producing its own chipmaking tools, followed by SK Hynix’s blowout earnings still falling short of forecasts, triggered a rout that included Korea’s first-ever back-to-back circuit breakers and a government emergency intervention including a ban on new leveraged ETFs.

The shock spread unevenly: Taiwan ended July down 8.6%, Japan’s Nikkei down 8.7%, while India stood apart — Nifty 50 gained 2% and Nifty IT surged 19% as capital rotated out of AI hardware and into Indian IT services.

IPO Activity — Mainboard Listings (July 2026)

COMPANY	SECTOR	IPO SIZE	SUBSCRIPTION	ISSUE PRICE	PRICE 31 JUL	P/L
Waterways Leisure	Tourism	₹585 Cr	1.4×	₹808	₹823	+1.8%
Advit Jewels	Jewellery	₹165.1 Cr	147.5×	₹138	₹178	+28.9%
CSM Technologies	IT/Software	₹145.7 Cr	1.3×	₹113	₹104	-7.9%
Aastha Spintex	Textile	₹170 Cr	5.0×	₹136	₹76.2	-43.9%
Knack Packaging	Packaging	₹439.5 Cr	87.1×	₹170	₹190	+11.8%
Kusumgar Technical Textiles	Textile	₹650 Cr	135.8×	₹419	₹583	+39.4%
Laser Power & Infra	Power Infrastructure	₹742 Cr	41.0×	₹214	₹300	+40.2%
SBI Funds Management	Asset Management	₹9,795.3 Cr	41.7×	₹574	₹589	+2.6%
Alpine Texworld	Textile	₹126.2 Cr	1.4×	₹105	₹73.2	-30.6%
Caliber Mining	Coal Mining	₹450 Cr	154.6×	₹424	₹557	+31.4%

Company	Sector	IPO Size	Subscription	Issue Price	Price 31 Jul	P/L
Lohia Corp	Capital Goods	₹1,101.2 Cr	7.2×	₹425	₹522.7	+2%
Indo-MIM	Precision Engineering	₹3,812.1 Cr	72.3×	₹485	₹774	+59%
Xtranet Technologies	IT Services	₹166.8 Cr	12.2×	₹127	₹127	-

13 mainboard listings. Indo-MIM led with +59.5%, followed by Laser Power & Infra +40.1% and Kusumgar +39.1%. Aastha Spintex (–43.9%) and Alpine Texworld (–30.2%) were the key losers. 10 out of 13 IPOs traded above issue price.

IPO Activity — SME Listings (July 2026)

Company	Sector	IPO Size	Subscription	Issue Price	Price 31 Jul	P/L
Shreedhar Spinners	Textile	₹30.6 Cr	4.9×	₹53	₹91.9	+73.3%
Jivial Industries	Building Products	₹31.9 Cr	1.0×	₹196	₹79	–59.0%
Crazy Snacks	Food Processing	₹31.4 Cr	1.2×	₹42	₹65	+54.7%
Adon Agro Commodities	Food Processing	₹44 Cr	1.3×	₹70	₹81.5	+16.4%
Kratikal Tech	Cybersecurity	₹39.6 Cr	220.7×	₹135	₹160	+18.5%
Vinit Mobile	Retail	₹34.1 Cr	1.6×	₹158	₹81.3	–48.5%
Sampark India	Logistics	₹27.2 Cr	4.9×	₹84	₹94.7	+12.7%
Seemax Resources	Industrial Equipment	₹19.7 Cr	3.6×	₹141	₹64	–54.6%
Atharva Polyplast	Plastics	₹27 Cr	10.7×	₹60	₹78.5	+30.8%
Teja Engineering Industries	Oil & Gas Services	₹37.3 Cr	1.3×	₹220	₹677	+207.7%
IC Electricals	Railways	₹47.9 Cr	420.0×	₹99	₹149	+50.5%
Devson Catalyst	Specialty Chemicals	₹42.3 Cr	220.3×	₹118	₹228	+93.2%
Happy Steels	Steel	₹25 Cr	77.8×	₹66	₹60	–9.0%
Millworks Technologies	Precision Engineering	₹160.3 Cr	219.5×	₹331	₹771	+132.9%
Sotefin Bharat	Automated Parking	₹89.7 Cr	3.9×	₹187	₹205	+9.6%
GulfLloyds Certification	Certification	₹18.1 Cr	10.8×	₹100	₹77.4	–22.0%
Metalic Technoforge	Forging	₹49.9 Cr	8.4×	₹77	₹96.1	+24.1%
Shree Balaji Mala	Textile	₹18.9 Cr	200.3×	₹70	₹114	+62.9%
Silverstorm Parks & Resorts	Tourism	₹82 Cr	1.9×	₹133	₹127	–4.5%

19 SME listings. Teja Engineering led with +207.7% (1.3× sub), Millworks Technologies +132.9%, Devson Catalyst +93.2%. On the downside, Jivial Industries –59.6%, Seemax Resources –54.6%, Vinit Mobile –48.5%.

Business Round-up — July 2026

- US inflation eased further: Headline CPI slowed to 2.5% YoY in June, while core inflation was 2.6%, strengthening expectations that inflation is nearing the Fed’s target.

- Wall Street delivered another strong quarter: JPMorgan reported \$21.2 Bn in quarterly net income (+41% YoY), Goldman Sachs posted +80% YoY profit growth, Citigroup +45%, and Bank of America +27%.
- China's economy slowed: Q2 GDP grew 4.3% YoY, the weakest pace outside the pandemic period since China exited strict COVID restrictions, highlighting continued weakness in domestic demand.
- Chinese exports remained resilient: June exports rose 2% YoY and shipping volumes increased 7% YoY, offsetting weakness in the property sector.
- South Korea tightened monetary policy: The Bank of Korea raised rates to 2.75%, citing persistent inflationary pressures from exports, higher oil prices and a weaker won.
- AI semiconductor cycle strengthened: TSMC's Q2 net profit jumped 77% YoY, while ASML reported sales up 21% YoY to €9.3 Bn (\$10.7 Bn) and raised its revenue outlook.
- Big Tech accelerated AI investment: Alphabet increased planned 2026 capex to \$195 Bn, about \$20 Bn higher than previously guided.
- Apple briefly became the world's most valuable company again: Market cap crossed \$4 Tn, overtaking Nvidia as investors rotated toward stable mega-cap tech.
- OpenAI faced increasing scrutiny: Sued by Apple over alleged trade-secret theft while separately disclosing an AI-agent security incident involving internal model testing.
- Oil remained volatile: Brent fell ~5% in July to around \$70/bbl after peaking above \$95/bbl. Goldman Sachs warned prices could revisit \$120/bbl if Hormuz disruptions intensified.
- US crude inventories tightened: Stockpiles declined to 311 million barrels, the lowest in ~45 years, underscoring a tighter market despite softer prices.
- Ryanair's profitability weakened: Quarterly profit fell 34% YoY, driven by higher jet-fuel costs. Every \$10/bbl oil increase adds ~€150 Mn to annual fuel expenses.
- UK inflation continued to cool: CPI slowed from 2.8% in May to 2.6% in June, although policymakers remained cautious due to energy-market uncertainty.
- Tesla's earnings weakened: Adjusted quarterly net profit declined 17% YoY, signalling continued margin pressure despite resilient vehicle deliveries.
- AMC Entertainment posted a blockbuster quarter: Revenue reached a record \$1.6 Bn, with adjusted profit of \$321 Mn and attendance rising 13.5% YoY.

Global Pulse: World Events Shaping Markets — Jul'26

Tap any item to expand the India impact.

01	Brent Crude Swings \$18 in July	+	02	US–Saudi Nuclear Pact Sparks Debate	+
03	US Slaps 50% Tariffs on \$20 Bn of Canadian Goods	+	04	Fed Leaves Markets Searching for Clarity	+
05	Korea's Chip Rout: Circuit Breakers & 33% SK Hynix Drop	+			

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